EXECUTIVE SUMMARY

I. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission "to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Ballesteros for the year ended December 31, 2016. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

II. Financial Highlights

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2016 and 2017:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2016	2015	Increase (Decrease)
Assets	₱191,353,717.82	₱120,548,613.25	₱ 70,805,104.57
Liabilities	55,002,111.68	49,128,797.99	5,873,313.69
Government Equity	136,351,606.14	71,419,815.26	64,931,790.88

b. Income and Expenses

Income	₱ 91,768,740.49	₱ 84,059,148.52	₱ 7,709,591.97
Expenses	66,903,648.22	61,411,536.91	5,492,111.31

c. Appropriations/Obligation

Appropriations	₱ 97,512,423.53	₱ 86,985,857.00	₱ 10,526,566.53
Obligations	78,893,361.76	74,336,419.19	4,556,942.57

The Municipality's assets and liabilities increased by ₱70,805,104.57 and ₱5,873,313.69 respectively. Likewise, the equity increased by ₱ 64,931,790.88 during the year.

Total income amounted to ₱ 91,768,740.49 for the year which is higher than last year's total income by ₱ 7,709,591.97. A total amount of ₱ 97,512,423.53 was appropriated during the year of which ₱ 78,893,361.76 was obligated.

III. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱96,268,122.01 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

IV. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. The physical existence and condition of the Property, Plant and Equipment, totaling ₱96,268,122.01 (net of depreciation) could not be ascertained due to the default of the LGU officials concerned to conduct physical inventory of all LGU properties and the absence of property and equipment ledger cards maintained at the office of the Municipal Accountant in violation of Section 124, Volume I of the Manual on the New Government Accounting System.

   We recommended that management conduct physical inventory of all LGUs properties at least once a year and submit the corresponding Report on the Physical Count of Property, Plant and Equipment (RPCPPE) to the office of the Auditor for verification. Likewise, instruct the Municipal Accountant to maintain property and equipment ledger cards of all LGUs properties to facilitate verification of its recorded assets.

2. Unutilized balance of Disbursement Acceleration Program (DAP) Fund received by the municipality for calendar years 2011 and 2013 amounting to ₱2,000,000.00 were not returned to the Bureau of the Treasury, contrary to Supreme Court Decision G.R. No. 209287 dated July 1, 2014.

   We recommended that management strictly comply with the Supreme Court decision on the reversion/remittance of the unexpended balance of DAP funds to the National Treasury.

3. Unexpended balance of Priority Development Assistance Fund (PDAF) received by the municipality for calendar year 2012 amounting to ₱ 115,409.36 was not reverted to the unappropriated surplus of the General Fund, contrary to Supreme Court Decision G.R. No. 209251 dated November 19, 2013 National Budget Circular No. 476-01 dated September 20, 2001.

We recommended that management strictly comply with the Supreme Court decision and National Budget Circular No. 476-01 dated September 20, 2001 on the reversion of the unexpended balance of the PDAF

4. The LGU Ballesteros has not effectively utilized its LDRRMF during the year with its utilization rate of only 4.72%. Further the LGU has not utilized its CY 2016 Pre-disaster fund, thereby exposing the LGU to probable risk of the effects of insufficient disaster preparedness.

   We recommended the management to further enhance its disaster preparedness and strengthen its disaster response capabilities by fully implementing its LDRRMF Plan and Budget.

5. The Municipality had disbursed a total amount of ₱ 251,580.00 from the General Fund during the conduct of Comprehensive Development Plan (CDP), Executive-Legislative Agenda (ELA) and CAPDEV Seminar at River Mount Hotel and Resort in Sarat, Ilocos Norte on October 11-14, 2016, in violation of the provision of COA Circular No. 2012-003 dated October 29, 2012.

   We recommended the Management to:

   a. Strictly comply with the provisions of COA Circular No. 2012-003 on the prevention of irregular, unnecessary, excessive and extravagant expenditures of funds or uses of property; and

   b. Take full cognizance of the Municipality's primary responsibility and accountability to uphold prudent utilization of government funds for the welfare of its constituents.

V. Summary of Total Suspensions, Disallowances and Charges as of Year-End

	2016	2015	Increase (Decrease)
Suspensions	₱ 116,827.68	₱ 116,827.68	₱ -
Disallowances	581,022.77	474,835.27	106,187.50
Charges	-	-	-
Total	**₱ 699,866.45**	**₱ 591,662.95**	**₱ 108,203.50**

VI. Status of Implementation of Prior Year's Audit Recommendations

Out of the seventeen (17) audit recommendations embodied in the previous Annual Audit Report, five (5) were fully implemented, seven (7) were partially implemented and the remaining five (5) were not implemented.